



PERFORMANCE INCENTIVE BONUS

POLICY No. 07-2011

PURPOSE:

To establish a policy on Performance Incentive Bonus for the employees and officer of the cooperative.

INTRODUCTION:

This benefit is covered by the Collective Bargaining Agreement (CBA) entered into by and between the Union and Management and approved by the Board of Directors on May 13, 2011. To implement a uniform grant of fringe benefits to all employees and officers of the cooperative, there is now a need for a policy to cover the other employees and officers that are not benefited under the CBA.

POLICY:

Section 1. The Management recognizes the effort of the employees in achieving a commendable performance in terms of reduced systems loss, improved collection efficiency and system reliability.

On the other hand, employees recognize that management likewise spends on programs related to system loss reduction, collection efficiency enhancement and system reliability. It is therefore mutually that a performance incentive bonus will be given if the following conditions will be attained:

- a. Average systems loss for the current year is lower than the previous year;
- b. One Hundred percent (100%) collection efficiency;
- c. System reliability per ERC standard is attained; and
- d. Actual energy sales shall not be lower than the projected energy sales.

Section 2. Release of which will be within the first quarter of the succeeding year upon confirmation by the BOD. The management shall furnish the BOD of the following:

- a. System loss report submitted and duly stamped as "received" by NEA/ERC.
- b. Data on the computation of the value of the "savings/reduction".

The PIB shall be computed proportionately as follows;

- a. The average system loss reference shall be the current year.
- b. The value of the savings/reduction will be appropriated to wit:
 - a.1 60% shall be allotted for the PIB of employees;
 - b.2 40% will remain with the management to defray the cost incurred for the implementation of its projects.
- c. The 60% allotted for the employees PIB shall be appropriated pro-rata based on the employees basic salary;
- d. In the event that there is an approved regulation or amendments to be issued by ERC/NEA or any authorized government agency affecting system loss computation, this policy shall be revisited.